

# THE BANCORP

# INVESTOR PRESENTATION

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 OCTOBER 2022



# FORWARD LOOKING STATEMENTS & OTHER DISCLOSURES

**Statements in this presentation regarding The Bancorp, Inc.'s ("The Bancorp") business** that are not historical facts or concern our earnings guidance or 2025 plan are "forward-looking statements". These statements may be identified by the use of forward-looking terminology, including the words "may," "believe," "will," "expect," "anticipate," "estimate," "intend," "plan," or similar words, and are based on current expectations about important economic, political, and technological factors, among others, and are subject to risks and uncertainties, which could cause the actual results, events or achievements to differ materially from those set forth in or implied by the forward-looking statements and related assumptions. These risks and uncertainties include those relating to the on-going COVID-19 pandemic, the impact it will have on the company's business and the industry as a whole, and the resulting governmental and societal responses. 2022 guidance and long-term financial targets in this presentation assume achievement of management's credit roadmap growth goals as described herein and other growth goals. If such assumptions are not met, guidance and long-term financial targets might not be reached. For further discussion of these risks and uncertainties, see the "risk factors" sections contained, in The Bancorp's Annual Report on Form 10-K for the year ended December 31, 2021 and in its other public

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# THE BANCORP HAS DELIVERED **STRONG** FINANCIAL PERFORMANCE

## SUSTAINED PERFORMANCE

The Bancorp is continuing to deliver high quality financial performance across key financial metrics

### KEY FINANCIAL METRICS

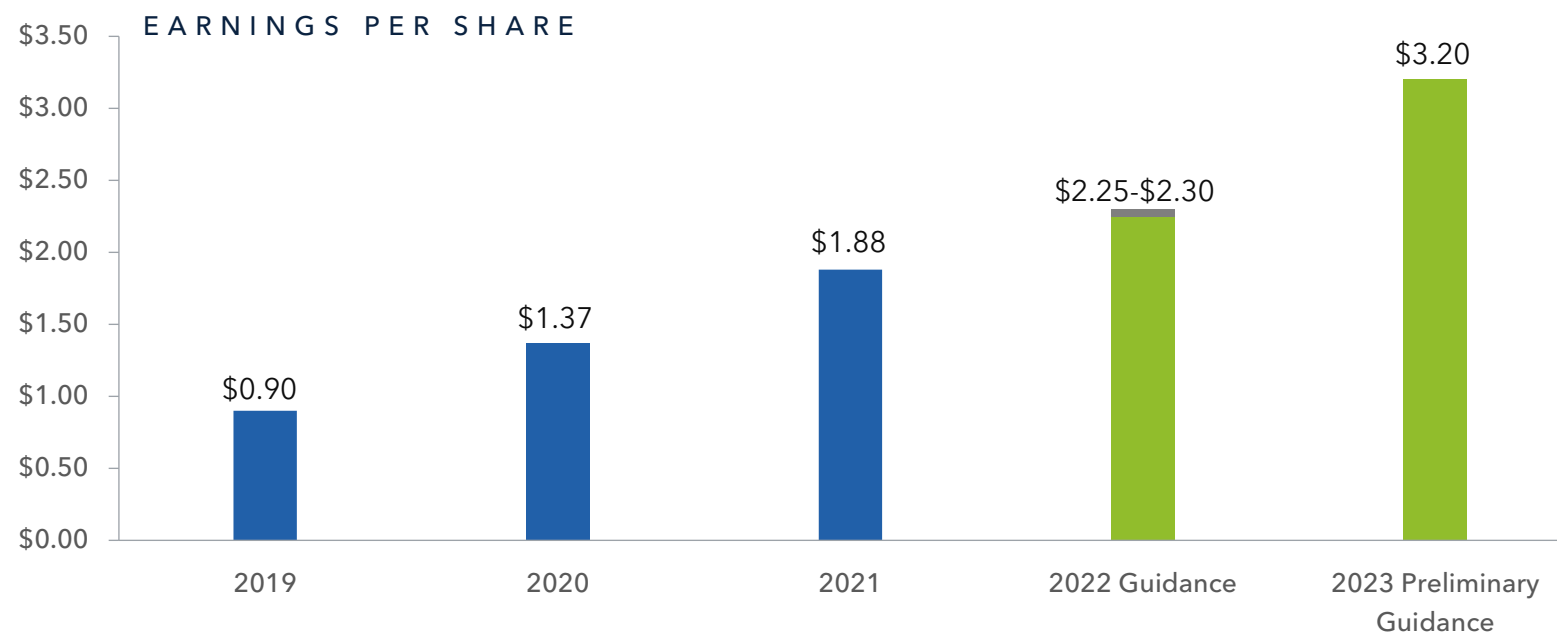
|                      |                               | 2020 | 2021 | Q3 YTD<br>2022 |                                           |
|----------------------|-------------------------------|------|------|----------------|-------------------------------------------|
| PROFITABILITY        | ROE                           | 15%  | 18%  | 18%            | Increasing levels<br>of profitability     |
|                      | ROA                           | 1.3% | 1.7% | 1.7%           |                                           |
| SCALABLE<br>PLATFORM | EFFICIENCY RATIO <sup>1</sup> | 59%  | 53%  | 50%            | Platform delivering<br>operating leverage |

<sup>1</sup>Please see Appendix slide 32 for efficiency ratio and non-interest expense growth calculations.

## GUIDANCE

Our preliminary 2023 guidance<sup>1</sup> is \$3.20 per share as we maintain strong momentum across our platform

OUR BUSINESS PLAN OUTLINES THE PATH TO EXPAND OUR LEADERSHIP AMONG PEER BANKS AND IN THE PAYMENTS INDUSTRY



<sup>1</sup>2022 and 2023 guidance assumes achievement of management's credit roadmap growth goals as described elsewhere in this presentation, impact of realized and expected interest rate increases, and other budgetary goals.

# FINANCIAL INDUSTRY LEADER

## RECOGNIZED PERFORMANCE

At The Bancorp, we strive for excellence and have been recognized in the market as a leader across a variety of industry rankings

**S&P**  
**SmallCap 600®**

**S&P SMALL CAP 600**  
ADDED TO RATING  
MAY 2021

**BankDirector.**

**RANKING BANKING®**  
THE BEST BANKS

**BANK DIRECTOR**  
**RANKING BANKING**  
RANKED #1  
>\$5B Assets<sup>1</sup>



**EQUAL OPPORTUNITY PUBLICATION**  
TOP EMPLOYER READERS CHOICE  
MAR. 2021 - RANKED #29  
MAR. 2020 - RANKED #46

**N.**  
**NILSON**  
**REPORT**

**NILSON REPORT**  
RANKED #1  
PREPAID CARD ISSUER  
JUNE 2021

**N.**  
**NILSON**  
**REPORT**

**NILSON REPORT**  
RANKED #8  
DEBIT ISSUING BANK  
APRIL 2021

**FORTUNE**

**FORTUNE**  
100 FASTEST GROWING  
COMPANY  
RANKED #28  
OCT. 2020

**The Forum**  
**of Executive**  
**Women**  
**Champions**  
OF BOARD DIVERSITY

**FORUM OF EXECUTIVE WOMEN**  
Champion of Board  
Diversity Honoree  
OCT. 2022

**IPA**  
Innovative Payments Association

**IPA**  
CONSUMER CHAMPION  
APR. 2021

<sup>1</sup>Ranked #3 for full Bank Director Ranking Banking universe.

## FINTECH ECOSYSTEM

Enabling fintech companies by providing industry leading card issuing, payments facilitation and regulatory expertise to a diversified portfolio of clients

# FINTECH LEADERSHIP

THE BANCORP IS A KEY PLAYER IN THE PAYMENTS ECOSYSTEM



# SPECIALIZED LENDING BUSINESS LINES AND CREDIT ROADMAP

## CREDIT ROADMAP

We created a credit roadmap which outlines multi-year growth strategies across our specialized lending business lines

### CORE LENDING BUSINESSES AS OF Q3 2022

|                            |        |
|----------------------------|--------|
| Institutional Banking      | \$2.5B |
| Real Estate Bridge Lending | \$2.1B |
| Small Business             | \$0.8B |
| Leasing                    | \$0.6B |

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**TOTAL** \$6.0B

Established Operating Platform  
Scalable technology, operations and sales  
platforms across lending business to  
support sustained growth

### CREDIT ROADMAP



Emphasis on core business lines with expectation to add related products and enter adjacent markets



Expand commercial real estate bridge lending business with focus on multi-family assets



Remain positioned to capitalize on credit-linked payments opportunities



Maintain balance sheet flexibility as we approach \$10B in total assets

# OUR STRATEGIC POSITIONING SHOULD DRIVE EARNINGS AND PROFITABILITY

## HIGHLIGHTS

Our platform can deliver growth from our specialized lending activities while remaining positioned to capitalize on new and higher-growth fintech partnerships



We can achieve our long-term financial targets by maintaining flexibility to capitalize on growth opportunities in both fintech and specialty commercial banking

## FINANCIAL TARGETS

Our multi-year plan outlines the path to deliver shareholder value by activating payments ecosystem 2.0, executing on our credit roadmap and enhancing our capital return program

# VISION 500



### PAYMENTS ECOSYSTEM

Activate Payments Ecosystem 2.0



### CREDIT ROADMAP

Established the plan to optimize our balance sheet



### CAPITAL RETURN

Enhance plan to maximize capital return to shareholders

## LONG-TERM FINANCIAL TARGETS<sup>1</sup>

| TOTAL REVENUE  | ROE  | ROA | LEVERAGE |
|----------------|------|-----|----------|
| >\$500 Million | >22% | >2% | 9%       |

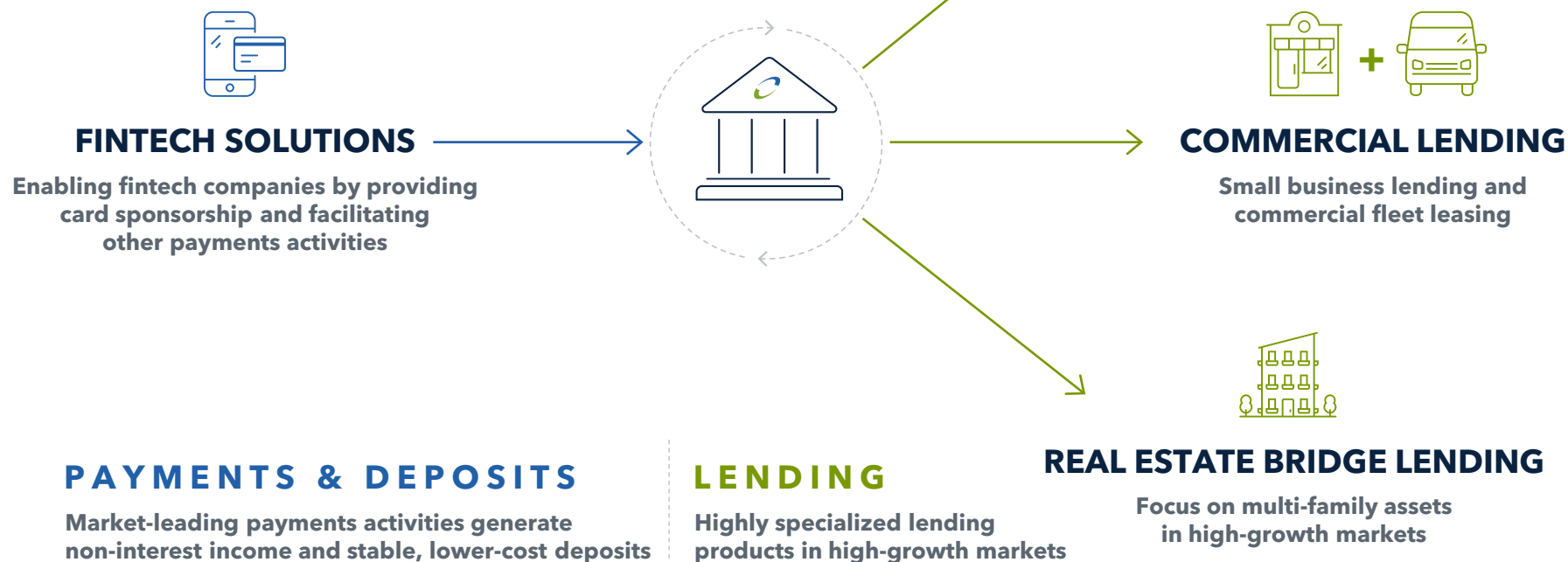
<sup>1</sup>2022 and 2023 guidance assumes achievement of management's credit roadmap growth goals as described elsewhere in this presentation, impact of realized and expected interest rate increases, and other budgetary goals.

FINTECH  
SOLUTIONS  
GENERATES  
NON-INTEREST  
INCOME AND  
ATTRACTS  
**STABLE, LOWER-  
COST DEPOSITS**

DEPLOYED INTO

**LOWER RISK  
ASSETS** IN  
SPECIALIZED  
MARKETS

## THE BANCORP BUSINESS MODEL



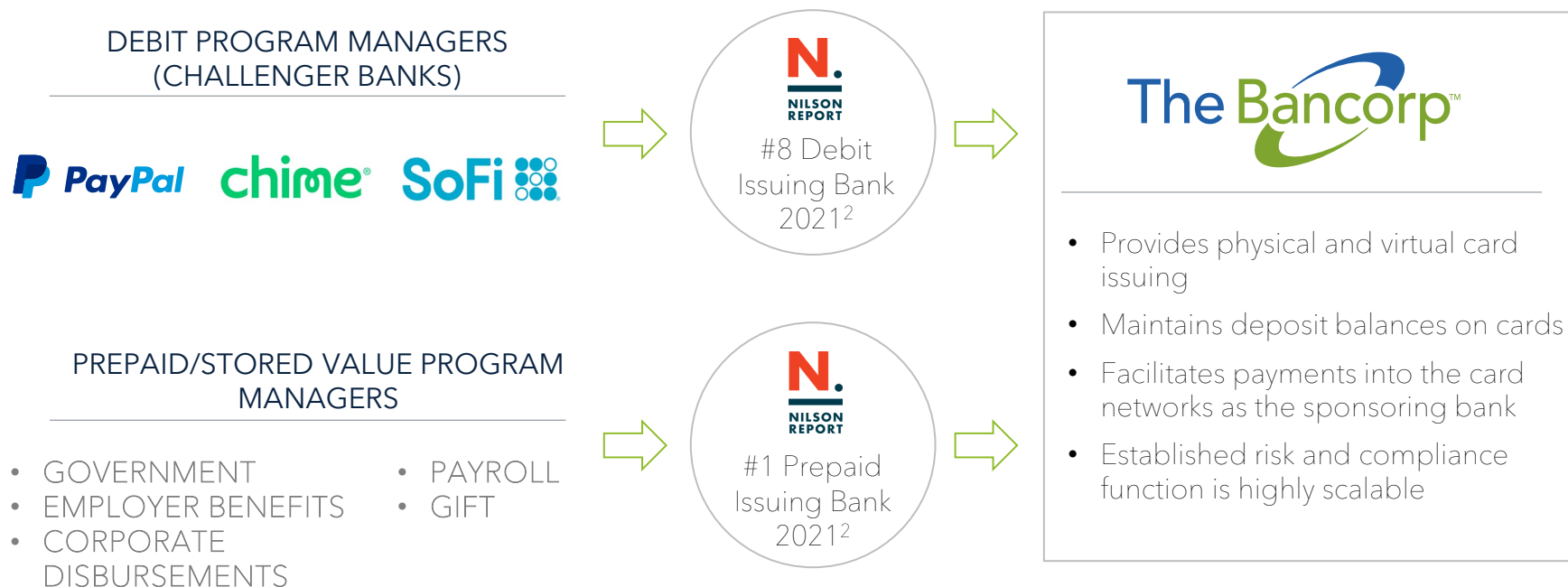
# DEPOSITS & FEES:

FINTECH SOLUTIONS GENERATES  
NON-INTEREST INCOME AND  
STABLE, LOWER-COST DEPOSITS

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## FINTECH SOLUTIONS: FEE GENERATING ACTIVITIES

# OUR FINTECH SOLUTIONS BUSINESS ENABLES LEADING FINTECH COMPANIES



26%

% TOTAL BANK REVENUE  
Q3 YTD 2022<sup>1</sup>

15%

GROSS DOLLAR  
VOLUME GROWTH  
Q3 2022 VS Q3 2021

<sup>1</sup>Includes non-interest income from prepaid and debit card issuance plus ACH, card and other payments processing fees.

<sup>2</sup>Nilson Report Issue 1218, April 2022.

## FINTECH SOLUTIONS: ESTABLISHED OPERATING PLATFORM

# HIGHLY SCALABLE PLATFORM TO SUPPORT OUR STRATEGIC PARTNERS



### ESTABLISHED OPERATING PLATFORM

- Infrastructure in place to support significant growth
- Long-term relationships with multiple processors enable efficient onboarding
- Continued technology investments without changes to expense base



### REGULATORY EXPERTISE

- Financial Crimes Risk Management program with deep experience across payments ecosystem
- Customized risk and compliance tools specific to the Fintech Industry



### OTHER PAYMENTS OFFERINGS

- Rapid Funds instant payment transfer product
- Potential to capitalize on credit-linked payments opportunities
- Additional payments services include ACH processing for third parties

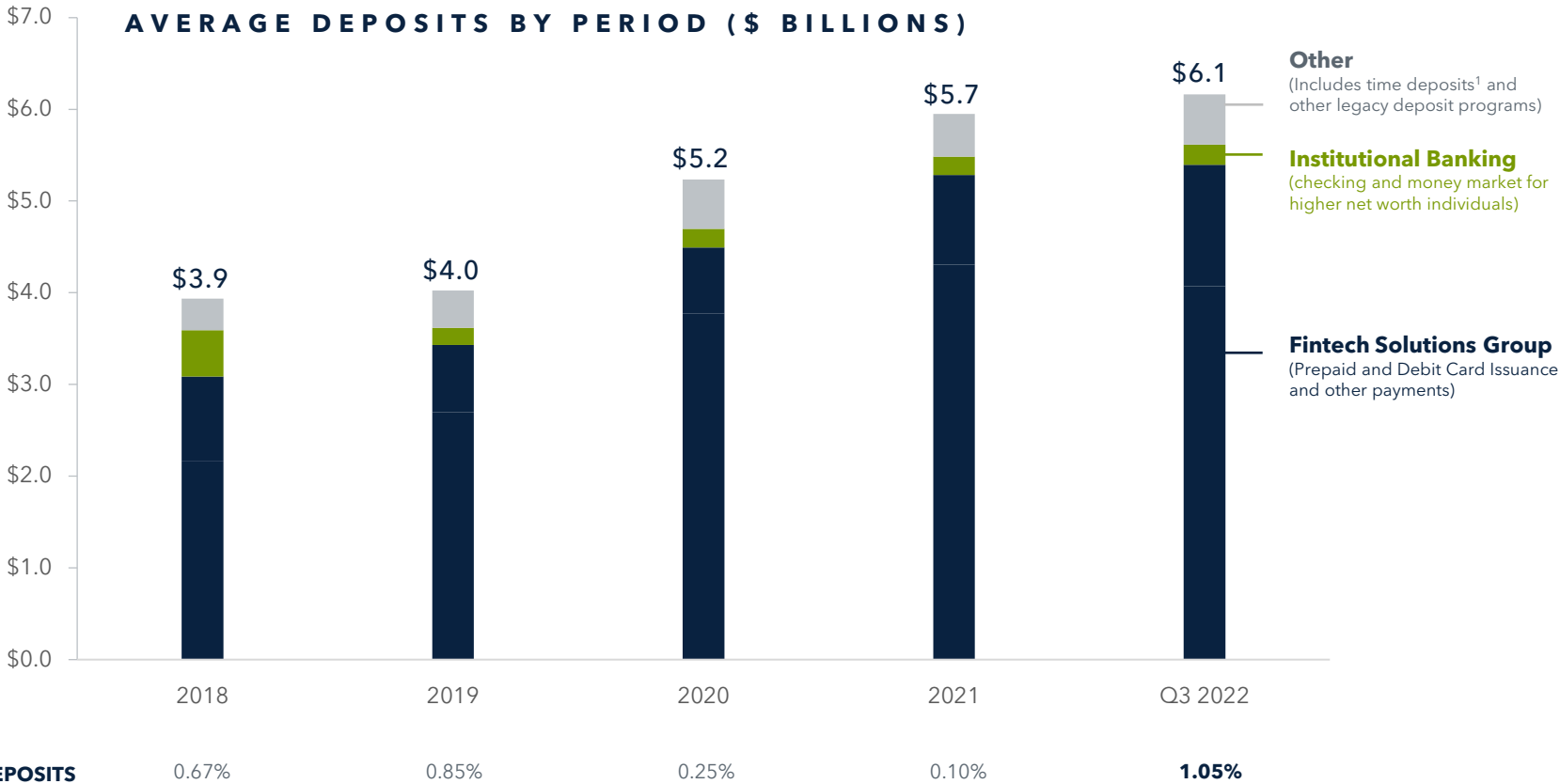
## INNOVATIVE SOLUTIONS

**Our platform** supports a wide variety of strategic fintech partners through our established processor relationships, regulatory expertise and suite of other payments products

FINTECH SOLUTIONS: STABLE, LOWER-COST DEPOSIT GENERATOR

# DEPOSIT GROWTH FROM PAYMENTS BUSINESS

AVERAGE DEPOSITS BY PERIOD (\$ BILLIONS)



## HIGHLIGHTS

- Stable, lower-cost deposit base anchored by multi-year, contractual relationships in our Fintech Solutions business
- Fintech Solutions growth driven by increased transactional volume due to electronic banking migration, addition of new partners and overall savings increases among consumers

| DEPOSIT TYPE (AVG <sup>2</sup> .) | BALANCE | % TOTAL |
|-----------------------------------|---------|---------|
| Demand & Int. checking            | \$5.5B  | 90%     |
| Savings & money market            | \$0.5B  | 8%      |
| Time deposits <sup>1</sup>        | \$0.1B  | 2%      |
| Total                             | \$6.1B  | 100%    |

<sup>1</sup>Time deposits have rarely been used due to lower cost deposit growth and previous balances are included in "Other". <sup>2</sup> Average for Q3 2022.

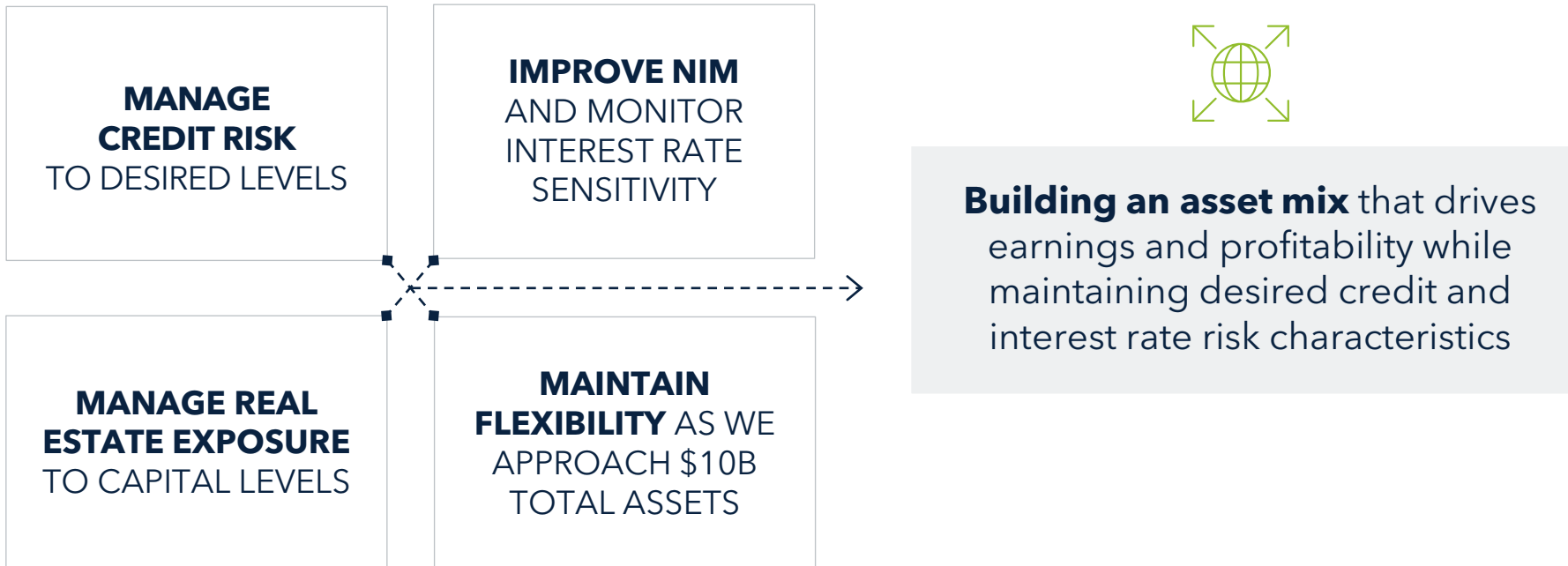
# LOANS & LEASES:

HIGHLY SPECIALIZED LENDING  
WITH LOW LOSS HISTORIES

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# KEY CONSIDERATIONS FOR GROWTH

GUIDELINES WE CONSIDERED AS WE BUILT OUR CREDIT ROADMAP



## CREDIT ROADMAP

**Delivering enterprise value from our balance sheet** is an important element of our business strategy and a primary focus of our credit roadmap initiative

# LOANS & LEASES: STRONG COLLATERAL AND GOVERNMENT GUARANTEES

## LOWER CREDIT RISK LOAN PORTFOLIO

| BUSINESS LINE              | BALANCE SHEET CATEGORY                                | Q3 2022 PRINCIPAL<br>BALANCE (\$ MILLIONS) | % OF TOTAL<br>PORTFOLIO |
|----------------------------|-------------------------------------------------------|--------------------------------------------|-------------------------|
| Institutional Banking      | Securities-backed lines of credit (SBLOC) (A)         | \$ 1,265                                   | 21%                     |
|                            | Insurance-backed lines of credit (IBLOC) (B)          | 1,104                                      | 18%                     |
|                            | Advisor Financing                                     | 168                                        | 3%                      |
|                            | <b>Total</b>                                          | <b>2,537</b>                               | <b>42%</b>              |
| Real Estate Bridge Lending | Multifamily - commercial real estate (C)              | 2,052                                      | 34%                     |
|                            | Hospitality - commercial real estate                  | 38                                         | 1%                      |
|                            | Retail - commercial real estate                       | 52                                         | 1%                      |
|                            | Other                                                 | 14                                         | <1%                     |
|                            | <b>Total</b>                                          | <b>2,156</b>                               | <b>35%</b>              |
| Small Business Lending     | U.S. government guaranteed portion of SBA loans (D)   | 371                                        | 6%                      |
|                            | Paycheck Protection Program Loans (PPP) (D)           | 7                                          | <1%                     |
|                            | Commercial mortgage SBA (E)                           | 223                                        | 4%                      |
|                            | Unguaranteed portion of U.S. gov'n't guaranteed loans | 99                                         | 2%                      |
|                            | Non-SBA small business loans                          | 21                                         | <1%                     |
|                            | Construction SBA                                      | 10                                         | <1%                     |
|                            | <b>Total</b>                                          | <b>731</b>                                 | <b>12%</b>              |
| Commercial Fleet Leasing   | Leasing (F)                                           | 600                                        | 10%                     |
| Other                      | Other                                                 | 65                                         | 1%                      |
| <b>Total principal</b>     |                                                       | <b>\$ 6,089</b>                            | <b>100%</b>             |

## LOWER HISTORIC CREDIT LOSS NICHES

- A. SBLOC loans are backed by marketable securities with nominal credit losses
- B. IBLOC loans are backed by the cash value of life insurance policies with nominal credit losses
- C. Comprised of apartment buildings in carefully selected areas
- D. Portion of small business loans fully guaranteed by the U.S. government
- E. 50%-60% loan to value ratios at origination
- F. Recourse to vehicles

# INSTITUTIONAL BANKING



## LENDING AND BANKING SERVICES FOR WEALTH MANAGERS

### BUSINESS OVERVIEW:

- Automated loan application platform, Talea, provides industry-leading speed and delivery
- Securities-backed lines of credit provide fast and flexible liquidity for investment portfolios
- Insurance-backed lines of credit provide fast and flexible borrowing against the cash value of life insurance
- Advisor Finance product provides capital to transitioning financial advisors to facilitate M&A, debt restructuring, and the development of succession plans
- Deposit accounts for wealth management clients
- Nominal historical credit losses

### CREDIT ROADMAP:

- Continue momentum across current SBLOC, IBLOC and Advisor Finance products
- Evaluate new lending opportunities in adjacent markets
- Market dynamics support business model
  - Advisors shifting from large broker/dealers to independent platforms
  - Sector shift to fee-based accounts
  - Emergence of new wealth management providers



\$2.5B

PORTFOLIO  
SIZE

4.2%

9/30/2022  
EST. YIELD

The Bancorp's Business Model allows us to build banking solutions to "spec" without competing directly with our partner firms. We do not have any associated asset managers, proprietary advisory programs, or related programs. Our singular focus is to help our partner firms stay competitive in the marketplace and to grow and retain assets

ALWAYS A PARTNER,  
NEVER A COMPETITOR

## LOANS & LEASES: INSTITUTIONAL BANKING LOAN PORTFOLIO

# INSTITUTIONAL BANKING PRIMARILY COMPRISED OF SECURITIES & CASH VALUE LIFE INSURANCE LENDING

### INSTITUTIONAL BANKING LOANS (\$MILLIONS)

9/30/2022

| LOAN TYPE                                 | PRINCIPAL<br>BALANCE | % OF<br>PORTFOLIO |
|-------------------------------------------|----------------------|-------------------|
| Securities-backed lines of credit (SBLOC) | \$ 1,265             | 50%               |
| Insurance-backed lines of credit (IBLOC)  | 1,104                | 43%               |
| Advisor Financing                         | 168                  | 7%                |
| <b>Total</b>                              | <b>\$ 2,537</b>      | <b>100%</b>       |

### TOP 10 SBLOC LOANS (\$MILLIONS)

9/30/2022

|              | PRINCIPAL<br>BALANCE | % PRINCIPAL TO<br>COLLATERAL |
|--------------|----------------------|------------------------------|
|              | \$ 20                | 58%                          |
|              | 18                   | 42%                          |
|              | 17                   | 72%                          |
|              | 14                   | 38%                          |
|              | 10                   | 33%                          |
|              | 9                    | 66%                          |
|              | 9                    | 48%                          |
|              | 9                    | 71%                          |
|              | 8                    | 75%                          |
|              | 6                    | 32%                          |
| <b>Total</b> | <b>\$ 120</b>        | <b>54%</b>                   |

## PORTFOLIO ATTRIBUTES

### SECURITIES-BACKED LINES OF CREDIT

- Nominal historical credit losses
- Underwriting standards of generally 50% to equities and 80% or more to fixed income securities

### INSURANCE-BACKED LINES OF CREDIT

- Nominal historical credit losses
- Loans backed by the cash value of insurance policies

# SMALL BUSINESS LENDING



## SBA AND OTHER SMALL BUSINESS LENDING

### BUSINESS OVERVIEW:

- Established a distinct platform within the fragmented SBA market
- National portfolio approach allows pricing and client flexibility
- Solid credit performance demonstrated over time
- Client segment strategy tailored by market

### CREDIT ROADMAP:

- Continue delivering growth within existing small business lending platform while entering new verticals and growing the SBAlliance™
- SBAlliance™ program provides lending support to banks and financial institutions who need SBA lending capabilities through products such as:
  - Wholesale loan purchases
  - Vertical focus with expansion of funeral home lending program



\$724M

PORTFOLIO  
SIZE<sup>1</sup>

5.6%

9/30/2022  
EST. YIELD

~\$700K

AVERAGE  
7(a) LOAN SIZE

<sup>1</sup>Excludes \$7M PPP loans.

# LOANS & LEASES: STRONG COLLATERAL & GOVERNMENT GUARANTEES

## SMALL BUSINESS LENDING

### SMALL BUSINESS LOANS BY TYPE<sup>1</sup> (\$MILLIONS)

9/30/2022

| TYPE                                                 | SBL<br>COMMERCIAL<br>MORTGAGE | CONSTRUCTION | SBL<br>NON-REAL<br>ESTATE | TOTAL         |
|------------------------------------------------------|-------------------------------|--------------|---------------------------|---------------|
| Hotels and motels                                    | \$ 61                         | \$ —         | \$ —                      | \$61          |
| Car washes                                           | 17                            | 1            | —                         | 18            |
| Full-service restaurants                             | 13                            | 3            | 2                         | 18            |
| Lessors of nonresidential buildings                  | 16                            | —            | —                         | 16            |
| Child day care services                              | 14                            | —            | 1                         | 15            |
| Outpatient mental health and substance abuse centers | 15                            | —            | —                         | 15            |
| Funeral homes and funeral services                   | 12                            | —            | —                         | 12            |
| Offices of lawyers                                   | 9                             | —            | —                         | 9             |
| Assisted living facilities for the elderly           | 9                             | —            | —                         | 9             |
| Gasoline stations with convenience stores            | 8                             | —            | —                         | 8             |
| Fitness and recreational sports centers              | 6                             | —            | 2                         | 8             |
| General warehousing and storage                      | 7                             | —            | —                         | 7             |
| Solar electric power generation                      | —                             | —            | 7                         | 7             |
| Plumbing, heating, and air-conditioning contractors  | 6                             | —            | 1                         | 7             |
| Other                                                | 102                           | 9            | 32                        | 143           |
| <b>Total</b>                                         | <b>\$ 295</b>                 | <b>\$ 13</b> | <b>\$ 45</b>              | <b>\$ 353</b> |

### SMALL BUSINESS LOANS BY STATE<sup>1</sup> (\$MILLIONS)

9/30/2022

| STATE          | SBL<br>COMMERCIAL<br>MORTGAGE | CONSTRUCTION | SBL<br>NON-REAL<br>ESTATE | TOTAL         |
|----------------|-------------------------------|--------------|---------------------------|---------------|
| Florida        | \$ 63                         | \$ —         | \$ 4                      | \$ 67         |
| California     | 50                            | 3            | 4                         | 57            |
| North Carolina | 30                            | 7            | 2                         | 39            |
| New York       | 23                            | —            | 9                         | 32            |
| Pennsylvania   | 18                            | —            | 2                         | 20            |
| New Jersey     | 12                            | —            | 7                         | 17            |
| Illinois       | 15                            | —            | 2                         | 16            |
| Texas          | 12                            | —            | 3                         | 15            |
| Colorado       | 11                            | 2            | 1                         | 14            |
| Connecticut    | 10                            | —            | 1                         | 11            |
| Virginia       | 9                             | —            | 1                         | 10            |
| Georgia        | 7                             | —            | 2                         | 9             |
| Tennessee      | 8                             | —            | —                         | 8             |
| Ohio           | 6                             | —            | 1                         | 7             |
| Michigan       | 3                             | —            | —                         | 4             |
| Other states   | 18                            | 1            | 6                         | 25            |
| <b>Total</b>   | <b>\$ 295</b>                 | <b>\$ 13</b> | <b>\$ 45</b>              | <b>\$ 353</b> |

## PORTFOLIO ATTRIBUTES

### TYPE DISTRIBUTION

- Diverse product mix
- Commercial mortgage and construction are generally originated with 50%-60% LTV's

### GEOGRAPHIC DISTRIBUTION

- Diverse geographic mix
- Largest concentration in Florida representing 19% of total

<sup>1</sup>Excludes the government guaranteed portion of SBA 7a loans and PPP loans.

# COMMERCIAL FLEET LEASING



## NICHE-VEHICLE FLEET LEASING SOLUTIONS

### BUSINESS OVERVIEW:

- Niche provider of vehicle leasing solutions
  - Focus on smaller fleets (less than 150 vehicles)
  - Direct lessor (The Bancorp Bank sources opportunities directly and provides value-add services such as outfitting police cars)
  - Historical acquisitions of small leasing companies have contributed to growth
- Mix of commercial (~85%), government agencies and educational institutions (~15%)

### CREDIT ROADMAP:

- Continue enhancing platform and growing balances
  - Enhanced sales process and support functions
  - Pursuing technology enhancements to scale business with efficiency
- Constantly evaluating organic and inorganic growth opportunities in the vehicle space



**\$600M**  
PORTFOLIO  
SIZE



**6.1%**  
9/30/2022  
EST. YIELD

## LOANS & LEASES: COMMERCIAL FLEET LEASING PORTFOLIO

# COMMERCIAL FLEET LEASING

### DIRECT LEASE FINANCING BY TYPE (\$MILLIONS) 9/30/2022

| TYPE                                                                      | BALANCE       | TOTAL       |
|---------------------------------------------------------------------------|---------------|-------------|
| Construction                                                              | \$ 110        | 18%         |
| Government agencies and public institutions                               | 90            | 15%         |
| Waste management and remediation services                                 | 68            | 11%         |
| Real estate and rental and leasing                                        | 60            | 10%         |
| Retail trade                                                              | 48            | 8%          |
| Health care and social assistance                                         | 32            | 5%          |
| Transportation and warehousing                                            | 31            | 5%          |
| Finance and insurance                                                     | 27            | 5%          |
| Professional, scientific, and technical services                          | 20            | 3%          |
| Manufacturing                                                             | 17            | 3%          |
| Wholesale trade                                                           | 16            | 3%          |
| Educational services                                                      | 8             | 1%          |
| Mining, Quarrying, and Oil and Gas Extractions for Oil and Gas Operations | 4             | 1%          |
| Other and non-classified                                                  | 69            | 12%         |
| <b>Total</b>                                                              | <b>\$ 600</b> | <b>100%</b> |

### DIRECT LEASE FINANCING BY STATE (\$MILLIONS) 9/30/2022

| STATE                           | BALANCE       | TOTAL       |
|---------------------------------|---------------|-------------|
| Florida                         | \$ 97         | 16%         |
| Utah                            | 56            | 9%          |
| California                      | 52            | 9%          |
| New Jersey                      | 42            | 7%          |
| Pennsylvania                    | 39            | 7%          |
| New York                        | 30            | 5%          |
| North Carolina                  | 27            | 5%          |
| Maryland                        | 26            | 4%          |
| Texas                           | 26            | 4%          |
| Connecticut                     | 20            | 3%          |
| Washington                      | 16            | 3%          |
| Georgia                         | 15            | 2%          |
| Idaho                           | 14            | 2%          |
| Illinois                        | 11            | 2%          |
| Alabama                         | 10            | 2%          |
| Other states and non-classified | 119           | 20%         |
| <b>Total</b>                    | <b>\$ 600</b> | <b>100%</b> |

## PORTFOLIO ATTRIBUTES

- Largest concentration is construction and government sectors
- Of the \$600M total portfolio, \$520M are vehicle leases with the remaining \$80M comprised of equipment leases

# COMMERCIAL REAL ESTATE BRIDGE LENDING



Real estate bridge lending

## BUSINESS OVERVIEW:

- Resumed floating rate bridge lending business in Q3 2021
- Lending focus on apartment buildings in carefully selected markets

## COMMERCIAL REAL ESTATE LOANS BY TYPE (\$MILLIONS) 9/30/2022

| TYPE                                | # LOANS    | BALANCE         | ORIGINATION<br>DATE LTV | WEIGHTED AVG<br>INTEREST RATE | % TOTAL     |
|-------------------------------------|------------|-----------------|-------------------------|-------------------------------|-------------|
| Multifamily<br>(apartments)         | 150        | \$ 2,052        | 74%                     | 6.1%                          | 96%         |
| Hospitality (hotels<br>and lodging) | 5          | 38              | 65%                     | 6.6%                          | 2%          |
| Retail                              | 4          | 52              | 71%                     | 5.6%                          | 2%          |
| Other                               | 5          | 14              | 73%                     | 5.1%                          | <1%         |
| <b>Total</b>                        | <b>164</b> | <b>\$ 2,156</b> | <b>74%</b>              | <b>6.1%</b>                   | <b>100%</b> |

**\$1,488M** LOANS ORIGINATED  
SINCE Q3 2021  
RESUMPTION  
(ALL APARTMENTS)

## PORTFOLIO ATTRIBUTES

- Vast majority of loans are apartment buildings including all the top 15 exposures
- Loans originated prior to Q3 2021 will continue to be accounted for at fair value
- Loans originated in 2021 and after will be held for investment and use the CECL methodology



## ASSET CLASSES – % PORTFOLIO



APARTMENTS – 96%



LODGING – 2%



RETAIL – 2%



OTHER – <1%

# FINANCIAL REVIEW

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## FINANCIAL REVIEW: INTEREST RATE SENSITIVITY

# LOANS REPRICING TO HIGHER RATES WILL POSITIVELY IMPACT NIM AS BENCHMARK RATES CONTINUE TO RISE

|                                       |                                     | Q3 2022 BALANCE <sup>1</sup><br>(\$ MILLIONS) | RATE SENSITIVITY                                                                          |
|---------------------------------------|-------------------------------------|-----------------------------------------------|-------------------------------------------------------------------------------------------|
| Core<br>Lending<br>Businesses         | Institutional Banking <sup>2</sup>  | \$2,537                                       | Majority of loan yields will increase as rates increase                                   |
|                                       | Real Estate Bridge Lending          | \$2,156                                       | 6.1% wtd avg yield; rates will increase as rates increase                                 |
|                                       | Non-PPP Small Business <sup>3</sup> | \$724                                         | Majority of loan yields will increase as rates increase                                   |
|                                       | Leasing                             | \$600                                         | Fixed rates but short average lives                                                       |
| Total                                 |                                     | \$6,017                                       |                                                                                           |
| Q3 2022 Average Deposits <sup>1</sup> |                                     | \$6,125                                       | A majority of deposits adjust to a portion of rate changes in line with partner contracts |

## HIGHLIGHTS

- ✓ Floating rate lending businesses include Real Estate Bridge Lending, SBLOC, IBLOC and the majority of Small Business
- ✓ Deposits primarily comprised of prepaid and debit accounts, anchored by multi-year, contractual relationships
- ✓ Interest income is modeled to increase in higher rate environments, as interest rate floors were exceeded in Q2 2022

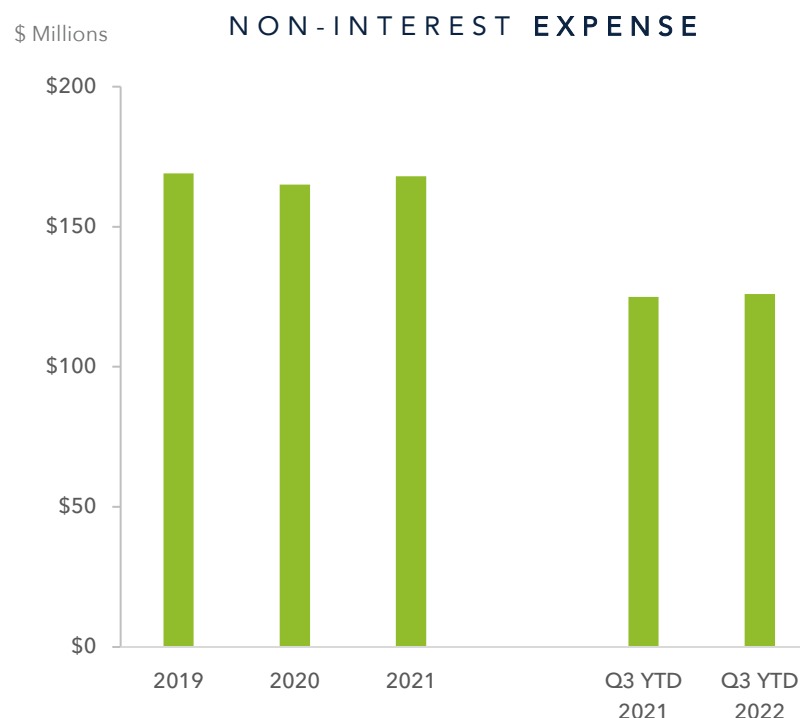
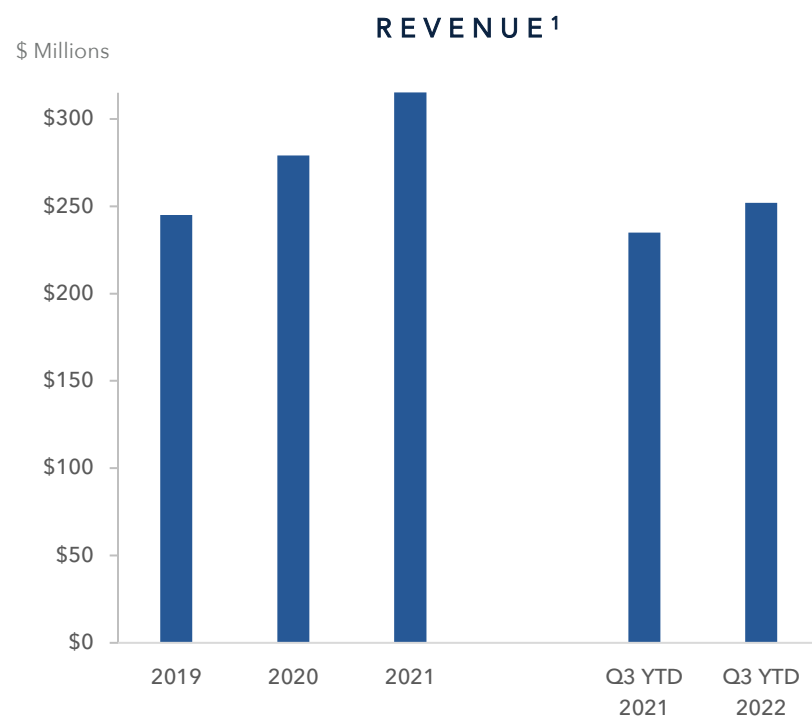
<sup>1</sup>Loans are as of September 30, 2022, and deposits are average balance for Q3 2022.

<sup>2</sup>Institutional Banking substantially comprised of securities backed loans and insurance backed loans.

<sup>3</sup>Excludes \$7M of short-term PPP loans which are government guaranteed and deferred costs and fees. Please see Appendix slide 34 for reconciliation to total SBA Loans.

# FINANCIAL REVIEW: EARNINGS AND PROFITABILITY

REVENUE HAS **GROWN CONSISTENTLY** WHILE EXPENSES HAVE BEEN TIGHTLY MANAGED, **CREATING OPERATING LEVERAGE**



## REVENUE

- Annual revenue growth driven by diverse product mix
- Net interest income growth driven by growth in balances across business lines
- Greater proportion of non-interest income compared to peers<sup>2</sup>

## EXPENSE

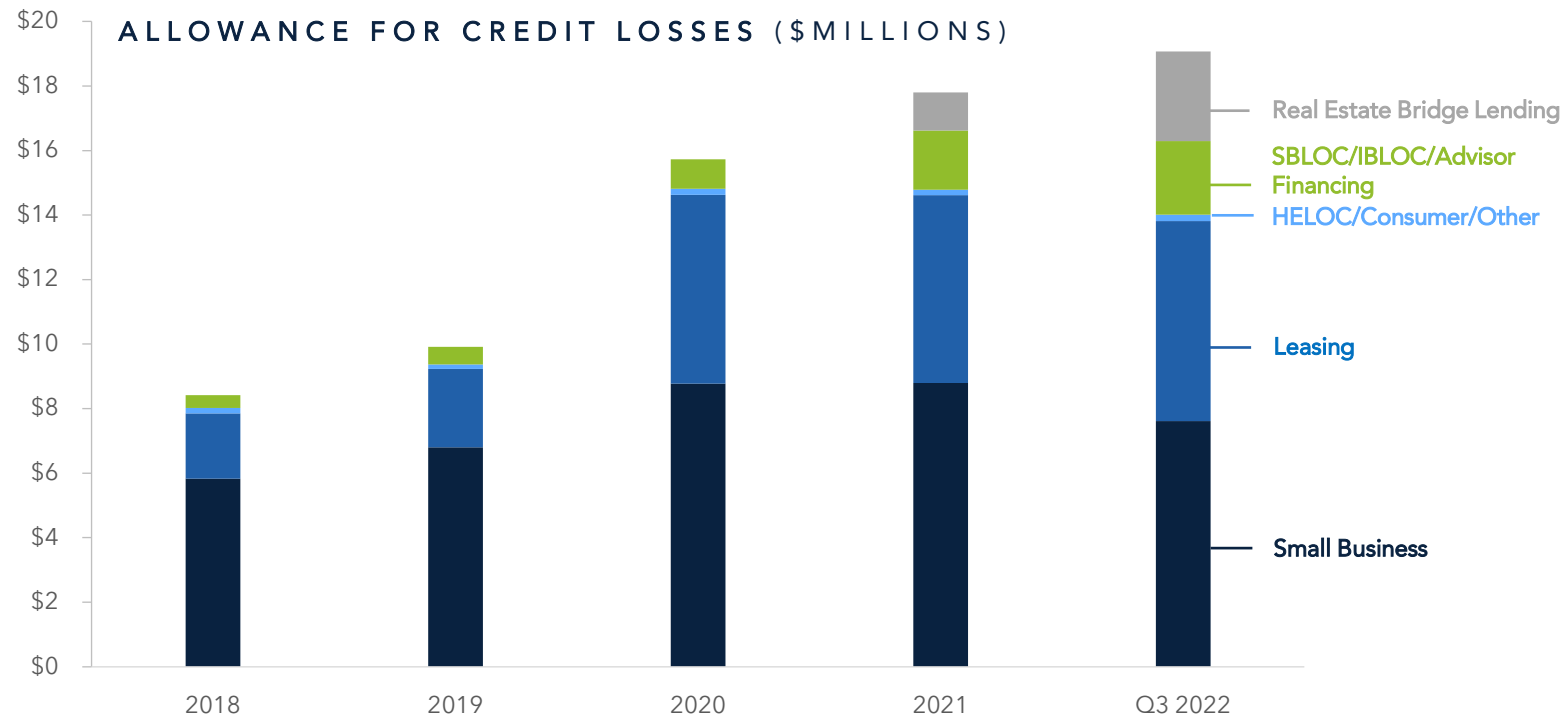
- Expenses have been tightly managed
- Expense saves have continued to be realized and have funded critical BSA and other infrastructure which has attracted new clients
- 2019 includes a \$7.5M civil money penalty related to consent order remediation. In 2020, subsequent to the civil money penalty, the related consent order was lifted

<sup>1</sup>Revenue includes net interest income and non-interest income. Please see Appendix slide 32.

<sup>2</sup>Non-interest income as percentage of average assets ranks in top 11% of the uniform bank performance report peer group through Q2 2022.

## FINANCIAL REVIEW: LOAN LOSS RESERVE

# ALLOWANCE FOR CREDIT LOSSES REFLECTS OUR LOWER-RISK LOAN PORTFOLIO



## HIGHLIGHTS

- Consistent credit performance from Leasing and SBL
- Nominal historical losses across SBLOC, IBLOC and Advisor Finance
- Adoption of CECL methodology in 2020

Allowance for credit losses as % of loan balance

Adjusted allowance for credit losses as % of loan balance (excluding SBLOC & IBLOC)<sup>1</sup>

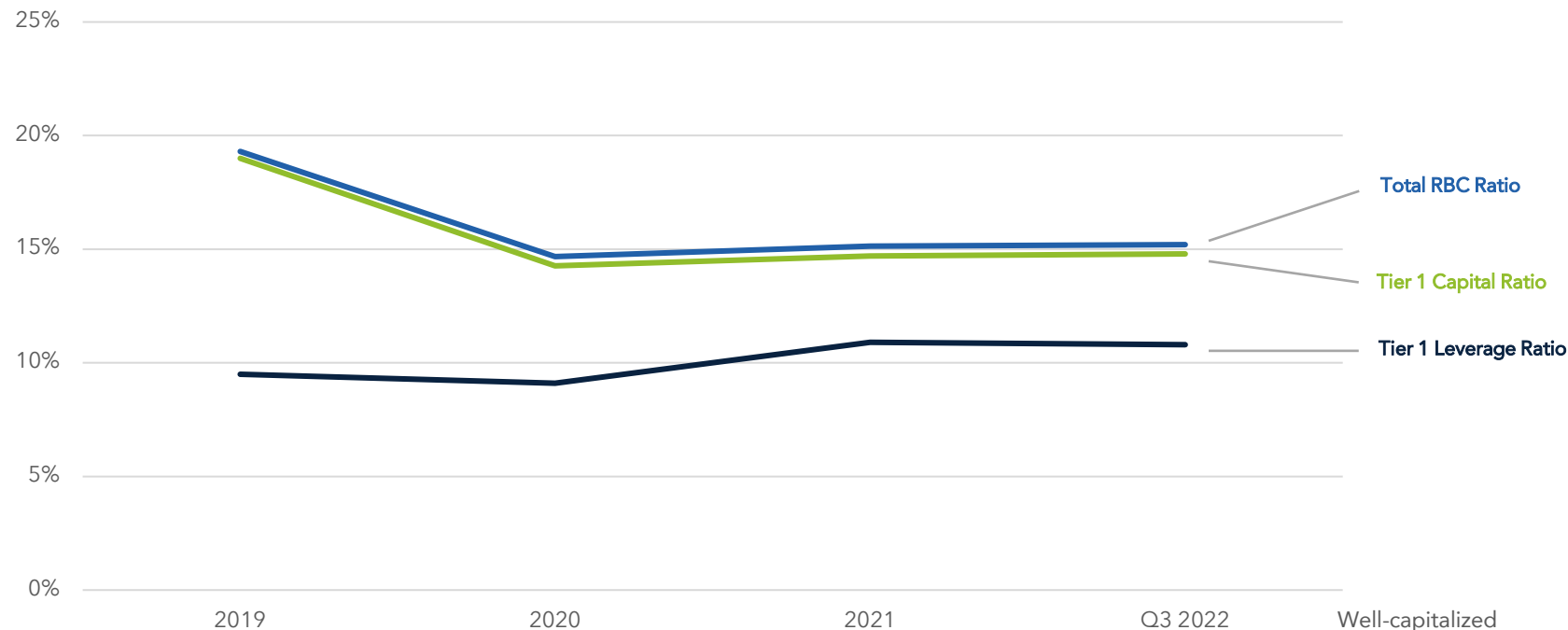
|                                                                                                  | 2018 | 2019 | 2020 | 2021 | Q3 2022 |
|--------------------------------------------------------------------------------------------------|------|------|------|------|---------|
| Allowance for credit losses as % of loan balance                                                 | 0.6% | 0.6% | 0.6% | 0.5% | 0.4%    |
| Adjusted allowance for credit losses as % of loan balance (excluding SBLOC & IBLOC) <sup>1</sup> | 1.2% | 1.2% | 1.4% | 0.9% | 0.6%    |

<sup>1</sup>Please see Appendix slide 33 for GAAP to Non-GAAP reconciliation of adjusted allowance for credit losses to GAAP allowance for credit losses as % of adjusted loan balance (excluding SBLOC & IBLOC).

## FINANCIAL REVIEW: HISTORICAL CAPITAL POSITION

# CAPITAL POSITION

THE BANCORP BANK, N.A. CAPITAL RATIOS



Tier 1 Leverage Ratio

9.5%

9.1%

10.9%

10.8%

5.0%

Tier 1 Risk-based Capital Ratio (RBC)<sup>1</sup>

19%

14%

15%

15%

8%

Total Risk-based Capital Ratio

19%

15%

16%

15%

10%

<sup>1</sup>Common Equity Tier 1 to risk weighted assets is identical to Tier 1 risk-based ratio and has a 6.5% well capitalized minimum.

<sup>2</sup>Buyback may be modified without notice at any time.

## HIGHLIGHTS

- Executed common stock buyback program of \$15M per quarter for Q1, Q2 and Q3 2022
- We expect to increase the stock buyback program to \$25M per quarter in 2023<sup>2</sup>
- Corporate governance requires periodic assessment of capital minimums
- Capital planning includes stress testing for unexpected conditions and events

## FINANCIAL REVIEW: EARNINGS AND PROFITABILITY

# WE HAVE EXECUTED AGAINST OUR STRATEGIC PLAN **AND** CONTINUE TO IMPROVE FINANCIAL PERFORMANCE

| PERFORMANCE METRICS               | 2019   | 2020   | 2021   | Q3 YTD 2022 | LONG-TERM TARGETS                                                                     |
|-----------------------------------|--------|--------|--------|-------------|---------------------------------------------------------------------------------------|
| ROE                               | 11.6%  | 15.1%  | 17.9%  | 18.3%       | 22%                                                                                   |
| ROA                               | 1.09%  | 1.34%  | 1.68%  | 1.69%       | > 2.0%                                                                                |
| EPS                               | \$0.90 | \$1.37 | \$1.88 | \$1.56      |    |
| Bancorp Bank, N.A. Leverage Ratio | 9.5%   | 9.1%   | 10.9%  | 10.8%       | 9%                                                                                    |
| Total Assets                      | \$5.7B | \$6.3B | \$6.8B | \$7.8B      | <\$10B                                                                                |
| Efficiency Ratio <sup>1</sup>     | 69%    | 59%    | 53%    | 50%         |  |

<sup>1</sup>Please see Appendix slide 32 for calculation of efficiency ratio. Decreases in the efficiency ratio indicate greater efficiency, i.e., lower expenses vs higher revenue.

# APPENDIX

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## APPENDIX

## GAAP REVENUE AND EFFICIENCY RATIO CALCULATIONS

(\$ millions)

| The Bancorp                                                       | 2019       | 2020       | 2021       | Q3 YTD 2021 | Q3 YTD 2022 |
|-------------------------------------------------------------------|------------|------------|------------|-------------|-------------|
| Net interest income                                               | \$ 141,288 | \$ 194,866 | \$ 210,876 | \$158,719   | \$172,081   |
| Non-interest income                                               | 104,127    | 84,617     | 104,749    | 76,523      | 79,943      |
| Total revenue                                                     | 245,415    | 279,483    | 315,625    | 235,242     | 252,024     |
| Growth (Current period over previous period)                      |            | 14%        | 13%        |             | 7%          |
| Non-interest expense                                              | \$ 168,521 | \$ 164,847 | \$ 168,350 | \$125,150   | \$126,027   |
| Efficiency Ratio <sup>1</sup>                                     | 69%        | 59%        | 53%        | 53%         | 50%         |
| Non-interest expense growth (Current period over previous period) |            | (2%)       | 2%         |             | 1%          |
| Payments non-interest income (Fintech Solutions business line)    |            |            |            |             |             |
| ACH, card and other payment processing fees                       | \$ 9,376   | \$ 7,101   | \$ 7,526   | \$5,605     | \$6,552     |
| Prepaid, debit card and related fees                              | 65,141     | 74,465     | 74,654     | 56,878      | 57,865      |
| Total payments (Fintech Solutions) non-interest income            | \$ 74,517  | \$ 81,566  | \$ 82,180  | \$62,483    | \$64,417    |
| % of Total revenue                                                |            |            |            | 27%         | 26%         |

<sup>1</sup>The efficiency ratio is calculated by dividing GAAP total non-interest expense by the total of GAAP net interest income and non-interest income. This ratio compares revenues generated with the amount of expense required to generate such revenues, and may be used as one measure of overall efficiency.

## APPENDIX

## RECONCILIATION OF NON-GAAP FINANCIAL METRICS TO GAAP

|                                                                                                   | (\$ millions) |              |              |              |
|---------------------------------------------------------------------------------------------------|---------------|--------------|--------------|--------------|
|                                                                                                   | 2019          | 2020         | 2021         | Q3 2022      |
| Allowance for credit losses on loans and leases GAAP                                              | \$ 10,238     | \$ 16,082    | \$ 17,806    | \$ 19,689    |
| Allowance for credit losses on SBLOC & IBLOC                                                      | 553           | 775          | 964          | 1,184        |
| Adjusted allowance for credit losses excluding SBLOC & IBLOC                                      | 9,685         | 15,307       | 16,842       | 18,505       |
| Total loans and leases GAAP                                                                       | 1,824,245     | 2,652,323    | 3,747,224    | 5,267,375    |
| SBLOC & IBLOC                                                                                     | 1,024,420     | 1,550,086    | 1,929,581    | 2,369,106    |
| Adjusted total loans and leases excluding SBLOC & IBLOC                                           | \$ 799,825    | \$ 1,102,237 | \$ 1,817,643 | \$ 2,898,269 |
| Allowance for credit losses as % of total loans and leases balance GAAP                           | 0.56%         | 0.61%        | 0.48%        | 0.37%        |
| Adjusted allowance for credit losses as % of adjusted total loans and leases balance <sup>1</sup> | 1.21%         | 1.39%        | 0.93%        | 0.64%        |

<sup>1</sup>Management excludes SBLOC and IBLOC in certain of its internal analysis, due to the nature of the related loan collateral. SBLOC are collateralized by marketable securities, with loan to values based upon guideline percentages which vary based upon security type. IBLOC are collateralized by the cash value of life insurance.

# RECONCILIATION OF NON-GAAP FINANCIAL METRICS TO GAAP

|                                                               | (\$ millions) |         |
|---------------------------------------------------------------|---------------|---------|
| Small Business Loans <sup>1</sup>                             | Q3 2022       |         |
| U.S. government guaranteed portion of SBA loans               | \$            | 371     |
| Paycheck Protection Program Loans (PPP)                       |               | 7       |
| Commercial mortgage SBA                                       |               | 223     |
| Construction SBA                                              |               | 10      |
| Non-guaranteed portion of U.S. government guaranteed 7a loans |               | 99      |
| Non-SBA small business loans                                  |               | 21      |
| Total principal                                               | \$            | 731     |
| Unamortized fees and costs                                    |               | 8       |
| Total small business loans                                    | \$            | 739     |
| <br>Total principal                                           |               | <br>731 |
| Less: Paycheck Protection Program Loan (PPP)                  |               | 7       |
| Total Small Business Lending principal excluding PPP          | \$            | 724     |

<sup>1</sup>Management provides a breakdown of small business loans, to afford a greater understanding of its components, including PPP loans.